

EXPECTATIONS

The general rule of fixed income assets claims that the higher the risk in the asset, the higher will be the yield offered. When evaluating fixed income assets, the issuer and their ability to repay the liability is understood, and based on that, a return is expected. Lower the ability of the issuer to pay back, riskier is the bond, and therefore higher is the expected return. To understand the paying ability of the issuer, multiple factors are analyzed which include the capacity of the issuer, the character of the issuer, covenants or conditions in the bond issue, and the collateral behind the issue. Based on these factors the ability is determined and that is why we say that investing directly in fixed income assets requires time and skill.

